



United States
Attorney's Office
Western District of Texas



Austin Emergency Center and Affiliates to Pay \$429,231 to Settle Civil False Claims Act Allegations

Tuesday, November 25, 2025

For Immediate Release

U.S. Attorney's Office, Western District of Texas

AUSTIN, Texas – Austin Emergency Center, LLC, Austin ER, LLC, AEC ER 4, LLC, Pahala Ventures, LLC, AEC Physicians, PLLC, and AEC Pflugerville, LLC (collectively, "Austin Emergency Center") have agreed to pay the United States \$429,231 to resolve overbilling allegations under the False Claims Act.

The settlement resolves allegations that Austin Emergency Center, which operates and provides medical services at standalone emergency medical facilities in the Austin area, submitted inflated claims for reimbursement to the Federal Employees Health Benefit Program (FEHBP). The United States alleged that Austin Emergency Center charged the FEHBP more than it charged cash-paying patients for certain COVID-19 tests during the period from June 18, 2020, through April 2, 2021, and up-coded evaluation and management services for drive-through COVID-19 screening during the period from April 13, 2020, through April 2, 2021.

"Financially capitalizing on crisis and the fear and misfortune of others is at the heart of every unlawful act committed by the worst elements of our society. Doing so under the guise of being a healthcare provider, represents the worst of who we are and further erodes our collective trust in the healthcare system," said U.S. Attorney Justin R. Simmons for the Western District of Texas. "Those who have used or plan to use healthcare as a means to unlawfully enrich themselves should take note that the Department of Justice is actively looking for opportunities to recover stolen pandemic-era funds on behalf of the American people."

"During a public health emergency, providers exploited federal employees' health benefits for profit at the taxpayers' expense," said Special Agent in Charge Derek M. Holt of the U.S. Office of Personnel Management (OPM) Office of the Inspector General (OIG). "We applaud our investigative staff and our partners at the Department of Justice for continuing to hold these providers accountable."

OPM OIG led the investigation of this matter. Assistant U.S. Attorney Thomas Parnham negotiated the settlement on behalf of the government.

The claims resolved by the settlement are allegations only and there has been no determination of liability.

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FALSE CLAIMS ACT

Component

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